crossed the border back to the Indian side ... Chinese personnel verified this at the scene [and] China will continue to exercise its sovereign rights and preserve its territorial sovereignty in accordance with historical border agreements.'[66]

Bhutan's attempts to strike a balance between its traditional friendship with India and China's attempts to gain more influence in the kingdom will be a major challenge for years to come. It remains to be seen how this is going to affect its internal stability, but, so far, Bhutan has continued to do well when it comes to social and economic progress. 'Gross National Happiness' may be a conveniently trite description of Bhutan's development model. Nevertheless, Bhutan has developed into a relatively prosperous welfare state, and, apart from China, the Himalayan kingdom is India's only stable neighbour. Pakistani politics is chaotic and often violent; constant mood swings among the public and power struggles within the elite make the future of Bangladesh unpredictable; Sri Lanka remains a wild card despite the end of Tamil insurrection in 2009; Myanmar is torn apart by civil war and ethnic conflicts; and Nepal is going from one political crisis to another. With China becoming an authoritarian-ruled but freewheeling capitalist society, most people in the world probably thought that orthodox Maoism was dead. That was until it resurfaced with a ferocity that few had predicted in Nepal in the 1990s.